

11 Treasury Forecast and Settlement Receivables

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Prepared by Fictional borrower treasury team | Borrower: Duolingo Learning Services LLC

SYNTHETIC DEMO. All events, figures and confirmations below are invented. Duolingo Learning Services LLC has no asserted affiliation, financing or guarantee from Duolingo Inc.

Forecast date and purpose

Prepared by the fictional treasury team February 25 and delivered February 26, 2027 at 10 am New York time. This is a focused cash forecast incorporating report 10, not a full monthly income statement. It continues the February 12 forecast in report 09 and incorporates only information available by February 25.

Receipts, payments and funding assumptions

Processor notice DUO-PROC-0216, received February 16, changes settlement timing under the existing fictional processing arrangement. It schedules additional net settlement holdbacks of \$4.0m by March 5, another \$4.0m by March 12, \$2.0m by March 19 and \$2.0m by March 26. The \$12.0m total remains a processor settlement receivable and is contractually due for release on June 4. It is separate from the existing \$6.0m settlement receivable and \$4.0m restricted deposit. The amounts are after processing fees; there is no extra fee or duplicate expense.

Management's February 18 settlement schedule confirms that these receipts were included in report 09's forecast. The new holdback reduces cleared cash, without changing recognized revenue, paid-account counts or EBITDA. No customer cancellation or loss of the receivable is asserted. The additional receivable has not settled into the Borrower's bank account.

The processor declined early release in its February 17 response. Management has already included the vendor credits, campaign cancellation and collection gains from report 09. There is no committed equity contribution, replacement facility or further executable cost reduction sufficient to fill this timing gap.

All other forecast receipts, fees, operating costs, interest, estimated cash-tax installments and capital expenditure assumptions remain as in the comparison schedule. The prior operating mitigations are already included. No new financing, owner contribution or discretionary expansion is assumed. Estimated earnings, receivables and supplier advances are kept separate from cleared bank cash. Amounts below are USD millions.

Thirteen-week cash forecast

The cash reduction is cumulative at each date, not a separate deduction to be added every week. Revised cash equals comparison cash less that cumulative reduction. May 21 is a new continuation estimate, not a number from report 09. The comparison assumes the original cash timing. The earlier dates reproduce report 09 exactly.

Week ending	Comparison cash	Cumulative reduction	Revised cash
2027-02-26	35.8000	0.0000	35.8000
2027-03-05	35.3000	4.0000	31.3000
2027-03-12	34.8000	8.0000	26.8000
2027-03-19	34.2000	10.0000	24.2000
2027-03-26	33.8000	12.0000	21.8000
2027-04-02	33.4000	12.0000	21.4000
2027-04-09	33.7000	12.0000	21.7000
2027-04-16	34.1000	12.0000	22.1000
2027-04-23	34.5000	12.0000	22.5000
2027-04-30	34.9000	12.0000	22.9000
2027-05-07	35.2000	12.0000	23.2000
2027-05-14	35.6000	12.0000	23.6000
2027-05-21	35.9000	12.0000	23.9000

Month-end continuation and timing

The following continuation estimates were prepared February 25 for the calendar dates shown. They are forecasts, not bank statements. The April 30 balance agrees with the weekly schedule.

Month-end	Comparison cash	Cumulative reduction	Revised cash
2027-02-28	35.7000	0.0000	35.7000
2027-03-31	33.5000	12.0000	21.5000
2027-04-30	34.9000	12.0000	22.9000
2027-05-31	36.3000	12.0000	24.3000
2027-06-30	37.3000	0.0000	37.3000

The cumulative reduction is \$12.0m through May 31 and zero after the June 4 release. The release reverses the timing reduction; it is not additional revenue or a second collection of the same funds. March 31, May 31 and June 30 continuation forecasts were prepared February 25; they were not stated in report 09.

No later actual result is embedded in these estimates. The last finalized month-end supplied here remains January 31. Future operating receipts and the stated counterparty payment dates remain sources of uncertainty.